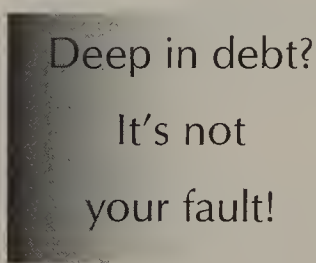


Billions in Profits

Credit card companies here in the land of the red, white, and blue spend \$5 billion a year marketing their credit cards to us. That's a lot of greenback. If they weren't making any money they would not be able to spend so much in offers and advertising, so obviously the credit card industry is a lucrative endeavor. And they're making it off the back of the American citizen. The average American carries about \$8,000 in credit card debt, and the credit card companies are making record profits, roughly \$30 billion before taxes. There are nine zeros in a billion, so let me draw you a picture: \$30,000,000,000.



Deep in debt?

It's not
your fault!

Now we understand why the insiders called the profits obscene.

The offers that show up daily in our mailboxes promise us: Rewards! Privileges! Cash Back! A couple years ago, one major credit card company even had a promotion that offered the chance to win a private tropical island! Eventually the credit card representatives may show up at your door with a pony for your kids and a complete three-ring circus if you open a credit card account.

The major credit cards all have expensive ad campaigns. Most of them are clever and stick with us. Just saying the word "priceless" probably makes you think of a television commercial, and you may even have your personal favorite from that ad series. The marketers are aggressive, as the credit card industry is a very competitive business. The competing credit card companies are getting more and more creative in their rebate and reward schemes. They are also getting more and more creative in their fees and hidden costs.

The credit card companies will attack me for that statement, and they will have a valid point. The costs are not exactly hidden; they are disclosed in the fine print. The disclosure statements that accompany our credit cards require a law degree and a magnifying glass to read. I don't have either, nor do many of you.